BUYER GUIDE

Closing Costs in Texas: What New Braunfels Home Buyers Pay at Closing

Closing costs catch most buyers off guard. Here is exactly what to expect — lender fees, title costs, prepaid items, and Texas-specific charges — so you can plan your budget accurately.

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Closing costs are the fees, prepaid expenses, and third-party charges that you pay on the day you take ownership of a home — in addition to your down payment. In New Braunfels and across Texas, these costs routinely run between 2% and 4% of the purchase price for buyers, meaning a $400,000 home can easily require $8,000 to $16,000 in closing costs on top of your down payment. Knowing what is coming — and why each line item exists — removes one of the biggest sources of last-minute stress in the home buying process.

THE OVERVIEW

What Closing Costs Cover and Why They Exist

Closing costs are not a single fee — they are a collection of charges from multiple parties involved in the transaction: your lender, the title company, the county clerk's office, and various third-party service providers. Some costs are fixed regardless of the purchase price. Others scale with the loan amount or sale price.

The Two Main Categories

Closing costs fall into two broad categories: non-recurring costs and prepaid items. Non-recurring costs are one-time charges paid at closing — origination fees, title insurance premiums, appraisal fees, and recording fees. Prepaid items are advance payments on ongoing housing expenses — homeowner's insurance, property taxes, and mortgage interest for the remaining days of the month in which you close.

When You Will Know the Exact Number

Your lender is required to provide a Loan Estimate within three business days of your loan application. Within three business days of closing, you receive a Closing Disclosure — the final, binding version of those numbers. By law, certain fees cannot increase by more than 10% between the Loan Estimate and the Closing Disclosure.

LENDER FEES

What Your Lender Charges and What Is Negotiable

Lender fees are charges associated with originating, processing, and underwriting your mortgage. These vary significantly from lender to lender, which is one of the primary reasons shopping multiple lenders — not just for interest rate, but for total closing cost — can save a buyer thousands of dollars.

Origination and Underwriting

The origination fee covers the lender's cost to create the loan — typically $500 to $1,500 or 0.5% to 1% of the loan amount. Underwriting is the fee for the lender's review and approval of your loan file — typically $400 to $900. Neither is negotiable in the sense of being waived, but they are fully competitive.

Points, Rate Locks, and Credit Fees

Discount points are an optional upfront fee to buy down your interest rate — one point equals 1% of the loan amount and typically reduces your rate by 0.25%. Rate lock fees may appear on extended locks. A credit report fee (typically $25–$75) and flood zone determination fee ($10–$50) are standard and not generally negotiable.

TEXAS TITLE COSTS

Title Insurance and Escrow: The Largest Non-Lender Closing Cost

In Texas, title insurance rates are regulated by the state — all title companies charge the same premium for the same coverage amount. For a $400,000 home, the Owner's Policy premium runs approximately $2,116. For a $500,000 home it rises to approximately $2,441. By longstanding custom in Texas, the seller typically pays for the Owner's Policy.

Escrow and Settlement Fees

The title company charges escrow or settlement fees for managing the closing — holding funds, coordinating document execution, disbursing proceeds, and recording the deed. In Comal County, these fees typically run $400 to $800 depending on the complexity of the transaction.

TEXAS SPECIFIC

Survey Costs and Other Texas-Specific Charges

Texas is one of relatively few states where a new survey is commonly required. Lenders and title companies frequently require a current survey to issue title insurance without exception. A new boundary survey in Comal County typically costs between $500 and $1,200 for a standard residential lot. Always ask if the seller has a recent survey on file before commissioning a new one.

PREPAIDS

Prepaid Items: The Closing Costs That Are Not Really Fees

Prepaid items are advance payments on your ongoing housing expenses — required by lenders to fund your initial escrow account. Because they are prepayments rather than fees, you are not losing this money — it gets applied to real expenses as they come due.

Homeowner's Insurance Prepaid

Lenders typically require the first full year of homeowner's insurance to be paid at closing. On a New Braunfels home, this can run $2,800 to $5,200 depending on coverage — often the single largest prepaid item.

Property Tax Escrow Setup

Texas property taxes are paid in arrears. Lenders typically collect two to three months of estimated property taxes at closing. For a $450,000 home with an effective rate of approximately $1.75 per $100, that initial escrow deposit can run $1,700 to $2,600.

Prepaid Mortgage Interest

Interest accrues daily on your mortgage from the day you close. Closing near the end of the month minimizes this charge. On a $350,000 loan at 6.75%, the daily interest runs approximately $64.

STRATEGIES

How to Reduce What You Pay at Closing

Closing costs are not as fixed as they appear. With the right strategy, buyers can meaningfully reduce what they bring to the table.

- Negotiate seller concessions in your offer — sellers may agree to contribute toward your closing costs.
- Shop at least three lenders and compare the full Loan Estimate, not just the interest rate — lender fees can vary by $1,500 or more.
- Ask about lender credits — paying a slightly higher interest rate in exchange for a credit can make sense if you plan to sell or refinance within five to seven years.

- Close near the end of the month to minimize prepaid interest owed at the table.
- Request an existing acceptable survey from the seller before commissioning a new one — this can save $500 to $1,200.
- For VA-eligible buyers, VA loans cap certain fees and eliminate private mortgage insurance — total savings can be substantial.

Frequently Asked Questions

How much are closing costs for a buyer in New Braunfels, Texas?

Buyer closing costs in New Braunfels typically run between 2% and 4% of the purchase price, not counting the down payment. On a $400,000 home, that means roughly $8,000 to $16,000 in additional cash needed at closing.

Who pays title insurance in Texas — the buyer or the seller?

In Texas, by longstanding custom, the seller typically pays for the Owner's Title Insurance Policy. The buyer typically pays for the Lender's Title Policy — usually $100 to $200 when issued simultaneously. However, title insurance responsibility is a negotiable item in the Texas real estate contract.

Can the seller pay my closing costs in New Braunfels?

Yes — seller concessions toward buyer closing costs are negotiable. Conventional loans allow 3% to 9% depending on down payment, FHA loans allow up to 6%, and VA loans allow up to 4% in concessions.

Is a survey required when buying a home in Texas?

Not by law, but as a practical matter most lenders and title companies require one. A new boundary survey in Comal County typically costs $500 to $1,200 for a standard residential lot.

What is an escrow account and why does my lender require one?

An escrow account is managed by your mortgage servicer and collects a portion of your homeowner's insurance premium and property taxes with each monthly payment, paying those bills directly when due.

When do I need to have my closing costs ready?

You will receive your Closing Disclosure at least three business days before closing. Most title companies require wire transfer for amounts over $1,500. Coordinate with your bank early to avoid wire transfer delays.